

Tesla

TSLA • NASDAQ Global Select • Auto - Manufacturers • United States

COMPANY PROFILE

Tesla designs, manufactures, and sells battery electric vehicles, solar products, and energy storage systems, including Megapack utility-scale batteries and Powerwall residential storage. Its Automotive segment includes vehicle sales, servicing, charging infrastructure, and software features such as Full Self-Driving. It remains the main revenue source. Energy Generation and Storage is smaller but growing faster. Tesla is also positioning autonomous driving, robotaxi services, and the Optimus humanoid robot as long-term growth opportunities. It also holds a financial stake in SpaceX through its earlier xAI investment.

RECOMMENDATION

SELL

12-month horizon

CURRENT PRICE

321.55 USD

as of report date

TARGET PRICE

165.80 USD

12-month fundamental

IMPLIED UPSIDE

-48.4%

vs. current price

MARKET CAP

USD 1,270 bn

shares × price

ENTERPRISE VALUE

USD 1,277.2 bn

mcap + net debt

P/E 2026E

267.9×

EV/EBITDA 2026E

76.9×

FCF YIELD 2026E

-0.4%

DIVIDEND YIELD
2026E

—

NET DEBT / EBITDA
2026E

-0.2×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION SELL 12-month horizon	TARGET PRICE 165.80 USD 12-month fundamental	CURRENT PRICE 321.55 USD as of report date	IMPLIED UPSIDE -48.4% vs. current price
MARKET CAP USD 1,270 bn shares × price	ENTERPRISE VALUE USD 1,277.2 bn mcap + net debt	P/E · EV/EBITDA 2026E 267.9x · 76.9x history + peers, see p. 18–19	FCF · DIV YIELD 2026E -0.4% · —



01 AI optionality is unsupported

The AI/Robotaxi/Optimus/FSD segment accounts for USD 648,106m, or 50.7% of EV, despite generating no commercial revenue or rides today. Waymo, by comparison, has 26 million annualized rides. This unsupported allocation drives the 225.2x FY26e EV/EBIT multiple, far above the justified 50.0x on 2028e EBIT.

50.7% of EV

02 Automotive margins face compression

Group EBIT rises from a 4.6% margin in FY25 to only 6.9% by FY28e, reaching USD 9,980m. The recovery depends on Energy scaling past 80 GWh and Automotive stabilizing, rather than autonomy monetization. Even then, the primary EV/EBIT valuation is only USD 113.9, well below the current share price.

6.9% FY28e EBIT margin

03 Massive capex limits free cash flow

FCF remains negative through a USD 19,354m capex peak in 2026. It turns only marginally positive at USD 1,053m by 2028. AI/Robotaxi optionality requires 2.5 billion annual rides to justify its allocation. Weak cash generation does not support today's 76.9x EV/EBITDA valuation.

-USD 4,454m 2026 FCF

THESIS BREAKER

Unsupervised Level 4 autonomous driving secures global regulatory approval and quickly captures meaningful commercial ride-hail market share.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Monthly closing prices over 24 months with the 12-month target price, alongside key market data.



CURRENT PRICE 321.55 USD 6 August 2026	TARGET PRICE 165.80 USD 12-month	IMPLIED UPSIDE -48.4% vs. current	52-WEEK HIGH 498.83 USD past 12m
52-WEEK LOW 297.38 USD past 12m	1-YEAR CHANGE +0.5% price only	3-YEAR CHANGE +26.7% price only	REPORT DATE 6 August 2026

READING THE MOVE

Reading the move

Tesla's share price volatility over the past 24 months reflects a shift in investor focus from slowing EV delivery growth to long-dated AI and robotics optionality. Traditional valuation metrics weakened as Automotive gross margins fell to 16.2% and revenue declined 2.9% in FY25 amid pricing pressure from competitors such as BYD.

The stock has nevertheless been supported by speculative premiums for the Robotaxi and Optimus programs. The February 2026 conversion of a \$2.0 billion xAI investment into SpaceX shares reinforced the view of Tesla as a broader technology group rather than a pure-play automaker. Current earnings do not support the \$321.55 share price, leaving substantial downside toward our \$165.8 target.

VALUE BREAKDOWN · PART 1

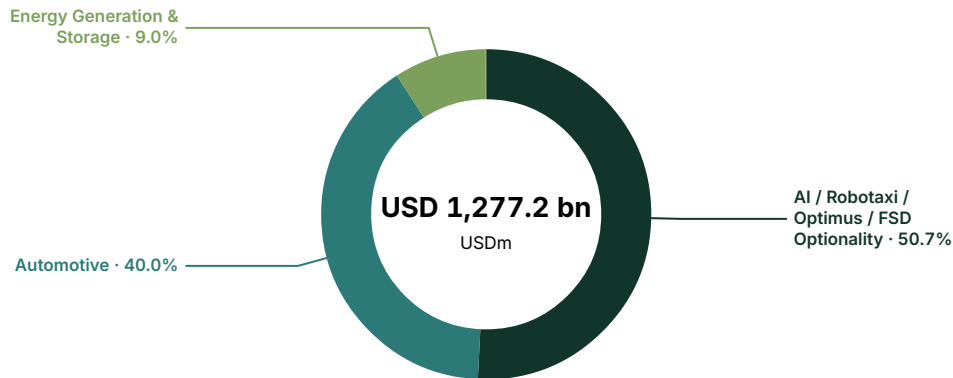
Enterprise - value allocation by business division

04

Where the market value sits across current businesses and long-term strategic options.

Enterprise value by business division

USD millions · current analytical allocation



VALUE AND EARNINGS BY BUSINESS DIVISION

Analytical enterprise - value allocation against reported economics. "Reported" rows match a verified company - reported segment; "Modelled allocation" rows are model - side splits. Business divisions may differ from company - reported accounting segments.

	EV	EV %	REVENUE	REV %	GROSS PROFIT	GROSS PROFIT %	BASIS
AI / Robotaxi / Optimus / FSD Optionality	648,106	50.7%	0	0.0%	0	0.0%	Modelled allocation
Automotive	510,898	40.0%	82,056	86.5%	13,292	77.8%	Reported
Energy Generation & Storage	114,952	9.0%	12,771	13.5%	3,802	22.2%	Reported
SpaceX / xAI Equity Stake	3,290	0.3%	0	0.0%	0	0.0%	Modelled allocation
Total	1,277,246	100.0%	94,827	100.0%	17,094	100.0%	—

VALUE BREAKDOWN · PART 2

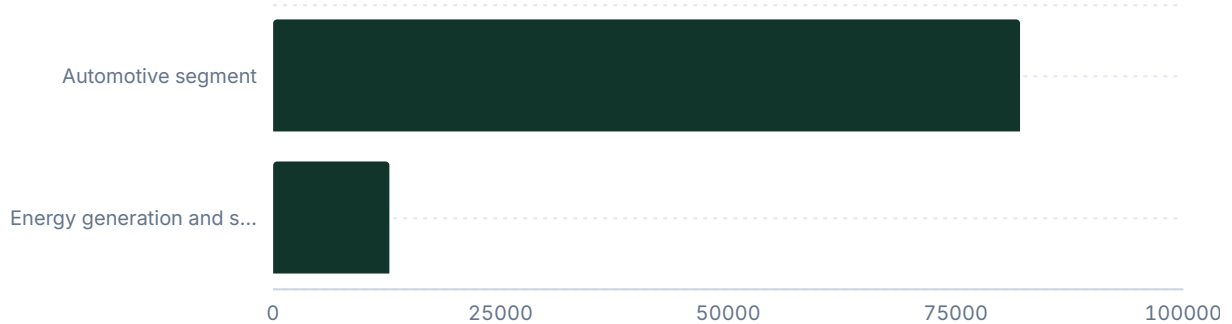
Revenue and profit by reported segment

05

Where the group's revenue and reported profit metric originate, by the company's own reported segments. Chart headings state the disclosed sales basis.

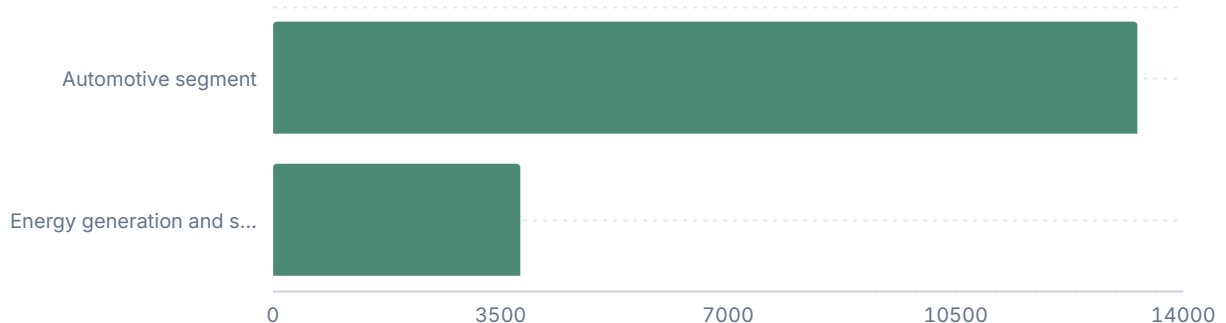
External sales by reported segment

USD millions, FY2025A



Gross profit by reported segment

USD millions, FY2025A



INTERPRETATION

Tesla's EV allocation does not reflect where the company currently generates cash. Automotive produced 86.5% of FY2025 external sales and 77.8% of gross profit, yet receives only 40.0% of group EV. More than half of EV, or 50.7%, is assigned to the AI / Robotaxi / Optimus / FSD optionality segment. This segment reports no separate commercial revenue or operating profit, leaving the valuation highly dependent on unproven technology.

VALUE BREAKDOWN · ANALYTICAL VIEW

Where value sits versus where money is earned

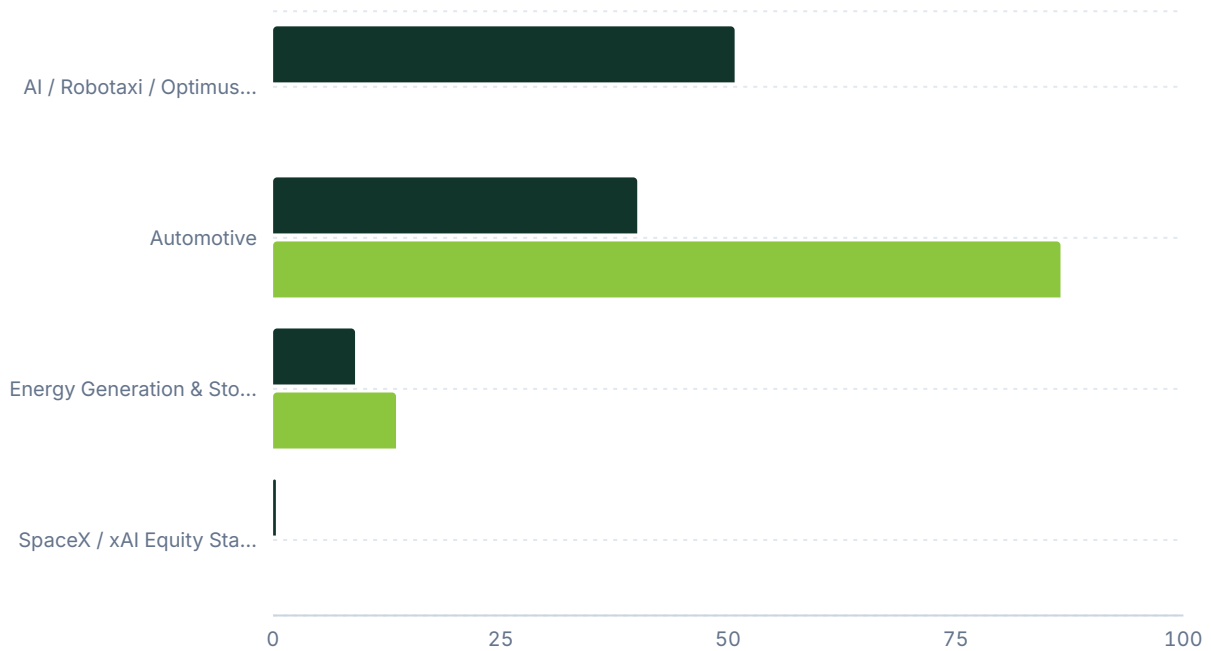
Each business division's share of enterprise value against its share of group revenue.
A division holding value it does not yet earn is where the valuation rests on the future;
the full figures are in the allocation table on the previous page.

05B

Share of enterprise value vs share of revenue

Per cent of group total · modelled allocation

■ Share of EV ■ Share of revenue



RECOMMENDATION

Why we land on the call we do

06

The rationale for the rating, the decision summary, and the three principal supporting arguments.

The stock trades at USD 321.55, well above our USD 165.8 target price. We therefore recommend SELL, implying roughly 48% downside over the next 12 months.

The market overestimates execution certainty. Our weighted target price of \$165.8 is 48% below the current \$321.55 share price. It assigns a 60% weight to 50.0x 2028e EV/EBIT = \$113.9, a 20% weight to 5.0x 2028e EV/Sales = \$165.1, and a 20% weight to the reverse-valuation anchor = \$322.0.

Three conditions determine which valuation framework prevails: unsupervised L4 regulatory approval by 2027, no further compression in Automotive's 4.6% EBIT margin from BYD's price war, and Houston Megapack capacity exceeding 80 GWh on schedule. What would break the case is a regulatory block on vision-only L4 autonomy. That would reduce the optionality segment toward the Bear-case EV and a \$112.08 share price.

SELL

TARGET PRICE

165.80 USD

CURRENT PRICE

321.55 USD

IMPLIED UPSIDE

-48.4%

12-MONTH VIEW

The market is severely overvaluing Tesla's pre-revenue AI and autonomous driving optionality while ignoring structural margin compression in its core automotive business.

MAIN DRIVER

AI/Robotaxi optionality valuation

MAIN RISK

Unsupervised L4 regulatory approval



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CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The framework underlying the business division deep dives that follow.

Tesla's EV allocation differs sharply from the sources of its current cash generation. As of the August 2026 control period, group EV is \$1,277,246 million. After deducting \$7,269 million in implied net debt and other senior claims, this reconciles to an equity market capitalization of \$1,269,977 million. Automotive generated 86.5% of FY2025 external sales and 77.8% of reported segment gross profit. Yet peer multiples and analyst SOTP frameworks assign it only 40.0% of group EV. Energy Generation & Storage accounts for 13.5% of revenue and supports roughly 9.0% of EV.

The remaining 50.7% of EV, or approximately \$648.1 billion, is assigned to the AI / Robotaxi / Optimus / FSD optionality segment. This emerging segment reports no separate commercial revenue and no operating profit. The market is pricing in successful, long-dated execution in unsupervised Level 4 autonomy and humanoid robotics. Tesla's FY2026 estimated multiples of 76.9x EV/EBITDA and 225.2x EV/EBIT cannot be supported by vehicle manufacturing cash generation alone.

The analysis should focus on two areas. First, the AI optionality segment must be tested against realistic market size, regulatory requirements, and competitor economics, particularly Waymo's commercial lead. This determines whether a \$648 billion residual EV is plausible. Second, the Automotive business must be stress-tested to determine whether its margin pressure is cyclical or structural. Consolidated EBIT fell to 4.6% in 2025 amid the BYD-led price war and broader global EV competition. Tesla does not allocate SG&A or R&D to its reported segments, so segment EBIT is unavailable. Segment gross profit is therefore the best reported measure of current segment economics.

ANALYTICAL ANCHOR

Tesla's \$1.28 trillion EV assumes successful execution in autonomy and robotics while its core automotive business faces material margin pressure.

08

AI / Robotaxi / Optimus / FSD Optionality

Business division deep dive — Emerging option.

WHY THE MARKET VALUES IT

The market assigns more than half of Tesla's EV to this segment because software, autonomy, and robotics could scale with margins well above those of vehicle manufacturing. Investors value it on probability-weighted future cash flows from a global robotaxi network and B2B commercialization of the Optimus humanoid robot, not current earnings. The valuation assumes that, once the software is solved, marginal deployment costs approach zero. Tesla could then generate high-margin revenue from FSD subscriptions and Robotaxi per-mile take rates without matching increases in capex.

MARKET STRUCTURE AND DEMAND

The autonomous ride-hail market is large but fragmented by geography and regulation. The US ride-hail market generates approximately \$50 billion in annual gross bookings, while the global ride-hail and taxi market approaches \$300 billion annually. Tesla must capture a dominant share of this market and expand it by reducing autonomous transport costs below personal car ownership. Ride-hail demand is price sensitive. If pricing falls from roughly \$2.00–\$2.50 per mile for human-driven services to \$1.00 per mile, utilization should rise. Yet the market is heavily regulated, requiring state-by-state and city-by-city safety validation. Optimus market sizing is more speculative. It targets a theoretical multi-trillion-dollar industrial labor replacement market that does not yet exist commercially.

COMPETITIVE POSITION AND ECONOMIC MOAT

Tesla's competitive position reflects a gap between data scale and commercial progress. Millions of Tesla vehicles collect visual data, which the company argues gives it an advantage in training end-to-end neural networks. Commercially, however, Tesla trails Waymo. In 2026, Waymo completes approximately 500,000 paid, fully autonomous driverless rides per week across several US cities and targets 1 million rides per week by year-end. Waymo uses Lidar, radar, and cameras for safety redundancy. Tesla relies on a vision-only approach. Tesla's system may be cheaper per unit, but it lacks approval to remove the human safety driver. Until Tesla operates commercially without human oversight, it has no demonstrated autonomy moat.

UNIT ECONOMICS AND REQUIRED SCALE

Robotaxi economics depend on volume × monetization × margin. Gross bookings depend on active autonomous vehicles, miles driven per day, utilization, and price per mile. To achieve software-like economics, vehicle depreciation, charging, insurance, maintenance, and compute costs per mile must remain below revenue per mile. A mature network could target a 65% contribution margin if vehicle costs are spread across high utilization. Tesla has zero commercial operations today, so these economics remain theoretical.

AI / ROBOTAXI / OPTIMUS /
FSD OPTIONALITY FACT
SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

ALLOCATED EV

\$648.1bn

COMMERCIAL RIDES TODAY

0

TARGET MARKET

\$300bn global ride-hail

REQUIRED RIDES FOR EV

~2.5 billion/year

08

AI / Robotaxi / Optimus / FSD Optionality (continued)

Business division deep dive — Emerging option.

ECONOMICS BRIDGE

A \$648.1 billion EV for this segment requires \$32.4 billion of annual operating EBIT at an aggressive software-like 20x multiple. At a highly optimistic 65% contribution margin, Tesla would need roughly \$50 billion of annual high-margin revenue from autonomy software and robotaxi take rates. At \$20 per ride, this requires 2.5 billion rides annually. Waymo's current 500,000 rides per week equates to 26 million rides annually. Tesla would need to move from zero commercial rides to dominance of the global ride-hail market.

GAP TO REQUIRED ECONOMICS

- Required EBIT: ~\$32.4 billion
- Economic output produced by stated bridge: \$0 today
- Shortfall: \$32.4 billion
- What must change to close the gap: Tesla must secure regulatory approval for unsupervised Level 4 autonomy, deploy a captive or third-party fleet capable of handling billions of rides, prove that a vision-only system can operate safely in edge-case weather without Lidar, and commercialize Optimus as a scalable B2B revenue stream to share the valuation burden.

MILESTONES AND EVIDENCE NEEDED

Over the next 12–24 months, Tesla must secure state-level approval to operate driverless vehicles on public roads for paid rides. Evidence would include specific CPUC (California) or equivalent permits and public safety data showing that the vision-only system matches or exceeds Waymo's accident-rate metrics. Tesla has not provided third-party verification of unsupervised FSD safety at scale. Failure to secure approval, or a high-profile FSD software recall, would break the valuation case.

ASSESSMENT

Speculative. The valuation assumes technological breakthroughs and regulatory approvals that have not yet occurred. It also gives limited weight to Waymo's substantial commercial lead.

AI / ROBOTAXI / OPTIMUS /
FSD OPTIONALITY FACT
SHEET

EMERGING OPTION

REVENUE

Not separately reported

GROSS PROFIT

Not separately reported

ALLOCATED EV

\$648.1bn

COMMERCIAL RIDES TODAY

0

TARGET MARKET

\$300bn global ride-hail

REQUIRED RIDES FOR EV

~2.5 billion/year

ROBOTAXI & AI COMPETITOR COMPARISON

COMPETITOR / SUBSTITUTE	SCALE / CAPACITY METRIC	CAPITAL INTENSITY	REGULATORY POSITION
Tesla (Robotaxi)	0 commercial paid rides	High (Vehicle Mfg + Compute)	Requires full L4 approval
Waymo (Alphabet)	~500k paid rides/week	High (Sensor + Data centers)	Approved driverless multiple
Baidu Apollo Go	Millions cumulative rides	High (Subsidized hardware)	Approved major Chinese cities
Figure AI (Robotics)	0 commercial deployments	Extreme R&D	Unregulated (Testing)

08

Automotive

Business division deep dive — Profit engine.

WHY THE MARKET VALUES IT

Automotive was once valued as a high-growth technology business capable of generating 20%+ gross margins. It is now viewed as a maturing, capital-intensive manufacturer facing a global price war. The \$510 billion allocation assumes current margin pressure is cyclical, driven by high interest rates and competitor discounting, rather than a permanent reset in Tesla's pricing power. Investors expect Next-Gen "unboxed" manufacturing and scale efficiencies to restore peak margins and volume growth.

MARKET STRUCTURE AND DEMAND

The global automotive market is approximately 80 million vehicles annually. EV penetration is growing, although adoption varies by region. Tesla depends heavily on the Model Y and Model 3, which are concentrated in premium mid-size segments across the US, Europe, and China. EV demand has proved less price-sensitive than expected. Tesla's 2024 and 2025 price cuts led to a 2.9% revenue decline in 2025 rather than a large increase in volume, exposing the limits of its narrow product range.

COMPETITIVE POSITION AND ECONOMIC MOAT

Tesla's early premium-EV monopoly has ended. Competition is now most intense in China. BYD sold 4.6 million New Energy Vehicles (NEVs) in 2025 and 1.8 million in just the first half of 2026, using its vertically integrated battery manufacturing to set pricing. Tesla briefly surpassed BYD in Q1 2026 global EV sales after stronger Chinese deliveries, but BYD likely retains a structural cost advantage in the mass market. Legacy automakers such as Toyota have used hybrids to protect margins from pure-EV price competition. Tesla's remaining advantages are its Supercharger network and brand. However, its cost base is exposed to fixed-cost deleveraging if volumes stall.

UNIT ECONOMICS AND REQUIRED SCALE

Automotive economics depend on unit volume × average selling price (ASP) × gross margin, less significant fixed R&D and SG&A costs. As ASPs fell from the \$50,000s to the mid-\$40,000s, gross margins declined to 16.2%. Tesla's high fixed costs, including the Berlin and Texas gigafactories, then drove group EBIT margin down to 4.6%.

ECONOMICS BRIDGE

A \$510.8 billion EV for a pure-play automotive manufacturer requires a normalized mid-cycle multiple. At a generous 12x EV/EBIT multiple, above legacy peers but below high-growth technology companies, Automotive needs roughly \$42.5 billion of annual EBIT. At a 15% EBIT margin on a \$40,000 ASP, or \$6,000 EBIT per vehicle, Tesla would need to sell roughly 7 million vehicles annually. This is far above current ~1.8 million volume. Current implied Automotive EBIT is likely only \$3.5–4.5 billion. The gap is therefore substantial and requires an unprecedented increase in physical scale.

AUTOMOTIVE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE

USD 82,056m

FY2025A GROSS PROFIT

USD 13,292m

ALLOCATED EV

\$510.9bn

VEHICLE VOLUME (FY25)

~1.8 million

ASP

~\$45,500

08

Automotive (continued)

Business division deep dive — Profit engine.

GAP TO REQUIRED ECONOMICS

- Required EBIT: ~\$42.5 billion
- Economic output produced by stated bridge: ~\$3.5–4.5 billion implied
- Shortfall: ~\$38.0 billion
- What must change to close the gap: Much higher unit volumes from a mass-market \$25,000 vehicle, lower battery input costs, an end to the Chinese EV price war, and successful scaling of the high-margin servicing and charging ecosystem.

MILESTONES AND EVIDENCE NEEDED

Tesla must launch a genuine mass-market vehicle to restore volume growth. It must also show that Next-Gen manufacturing can protect gross margins despite lower ASPs. Quarterly deliveries and automotive gross margin data over the next 12–24 months will provide the evidence. If gross margins do not recover above 18% while volumes stagnate, the market is likely to re-rate Automotive toward legacy OEM multiples.

ASSESSMENT

Plausible but demanding. Tesla must execute a major manufacturing scale-up against BYD while reversing the margin pressure seen in 2024 and 2025.

AUTOMOTIVE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE

USD 82,056m

FY2025A GROSS PROFIT

USD 13,292m

ALLOCATED EV

\$510.9bn

VEHICLE VOLUME (FY25)

~1.8 million

ASP

~\$45,500

AUTOMOTIVE COMPETITOR COMPARISON

MANUFACTURER / PEER	SCALE (FY25/H1 2026)	CORE MARGIN PROFILE	CAPITAL INTENSITY
Tesla	1.8M deliveries (FY25 est)	16.2% Gross Margin (FY25)	High (Vertical integration)
BYD	1.8M NEVs (H1 2026)	Low teens (Gross Margin)	Extreme (Battery + Vehicle)
Li Auto	High growth premium volume	18-20% Gross Margin	Medium (PHEV/EREV mix)
Toyota	10M+ deliveries globally	10-12% Operating Margin	High (Legacy plant conversion)

08

Energy Generation & Storage

Business division deep dive — Scaling.

WHY THE MARKET VALUES IT

Unlike Automotive, Energy is in a high-growth phase. Revenue grew 27% in 2025, and margins are structurally higher than in vehicles because Megapack is a B2B product with integrated software and services. The market values the segment on its backlog, milestone-based revenue recognition, and the rapid growth of utility-scale battery energy storage systems (BESS).

MARKET STRUCTURE AND COMPETITIVE POSITION

Grid-scale energy storage is growing rapidly as utilities address the intermittency of solar and wind power. Tesla's Megapack is a leading product, priced at approximately \$1.39 million for a 3.9 MWh unit (Megapack 2XL). Tesla competes with Fluence Energy and Chinese battery manufacturers offering lower-cost lithium-iron-phosphate (LFP) systems. Tesla's advantage is turnkey integration of hardware, thermal management, and Autobidder trading software, which simplifies utility deployment. The Lathrop Megafactory has 40 GWh of capacity, and Megafactory Houston will add further scale.

ECONOMICS BRIDGE AND REQUIRED SCALE

Energy economics depend on deployed capacity (GWh) × price per MWh × gross margin. Deferred revenue of \$4.96 billion in early 2026 provides strong cash flow visibility. To support a \$115 billion EV at a 25x EBIT growth multiple, Energy must generate roughly \$4.6 billion of operating EBIT. It currently generates \$3.8 billion of gross profit. Reaching \$4.6 billion of operating profit requires roughly doubling revenue to ~\$25 billion, assuming conservative operating expenses. With the Lathrop ramp and the Houston factory, that increase is physically and commercially feasible.

MILESTONES AND ASSESSMENT

Monitor quarterly deployed GWh and Megafactory Houston's commissioning status in H2 2026. Megapack gross margins below 25% would indicate weaker pricing power and pressure the valuation. Energy is currently Tesla's healthiest operating business, with high visibility, strong margins, and clear capacity expansion.

ENERGY GENERATION & STORAGE FACT SHEET

SCALING

FY2025A REVENUE

USD 12,771m

FY2025A GROSS PROFIT

USD 3,802m

ALLOCATED EV

\$115.0bn

MEGAPACK VOLUME (FY25)

46.7 GWh

TARGET VOLUME

80.0+ GWh

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08

Smaller business divisions — grouped deep dives

Segments that don't warrant a full deep dive — a short fact strip each.

SpaceX / xAI Equity Stake

Financial holding — revenue: Not separately reported · Gross profit: Not separately reported · Allocated EV: \$3.3bn · Latest event status: Investment rights converted into SpaceX Class A shares on February 2... (2026-01-16) · Cash consideration: \$2.00 billion for Series E Preferred Stock of xAI Holdings · Equity interest: Class A common stock of SpaceX via conversion · Next milestone: Monitoring of SpaceX Class A common stock performance following the June 2026 IPO

CORE ANALYSIS · CROSS-DIVISION BRIDGE

Putting the divisions back together

09

How the business division valuations aggregate to the group, and the re-rating the target price requires.

Tesla's medium-term forecast assumes Automotive volume growth stabilizes while Energy continues to scale rapidly. Forecast net sales rise from \$94,827 million in FY2025 to \$144,000 million by FY2028. The AI / Robotaxi Optionality segment is not expected to generate material commercial revenue over this period. Growth therefore depends almost entirely on vehicle and Megapack deliveries.

The profitability forecast is demanding. Consolidated EBIT fell to \$4,355 million in 2025, a 4.6% margin. Consensus expects recovery to \$9,980 million, or 6.9%, by 2028. This assumes that 2024–2025 inventory-clearing price cuts abate and that the next-generation manufacturing platform lowers cost of goods sold. Heavy R&D and SG&A spending on the AI optionality segment continues to weigh on current EBIT.

FCF conversion is the weakest part of the near-term forecast. Gross capex is expected to reach \$19,354 million in 2026, driven by AI compute clusters, Megafactory buildouts, and new vehicle tooling. This spending will push FY2026 FCF to -\$4,454 million. The forecast requires these investments to generate sufficient volume by 2028 to restore positive FCF.

The forecast requires Tesla to complete its capex cycle without further pressure on automotive gross margins. If the BYD-led price war forces further ASP cuts, FY28 EBIT of \$9.98 billion will not materialize. That would leave the capex investments without the expected returns and pressure the balance sheet.

BRIDGE MECHANICS

Tesla must convert heavy 2026 capex into cash-generating volume by 2028 to restore positive FCF.

Tesla's current economic output supports only a small portion of its \$1,277,246 million EV. In the EV-to-equity bridge, deducting \$7,269 million of implied senior claims reconciles exactly to the \$1,269,977 million market capitalization. The operating assets support far less value. At a standard 10x EBIT multiple for legacy automakers, Tesla's current automotive earnings support roughly \$40 billion of EV. Even a 25x high-growth multiple supports only \$100 billion.

More than \$1.1 trillion of Tesla's EV therefore depends on future execution rather than current earnings. Energy could support its \$115 billion allocation if revenue doubles and margins hold over the next three years, supported by Megafactory expansion. The \$648 billion AI / Robotaxi Optionality segment requires a different framework based on probability-weighted software monetization that does not yet exist commercially.

The most sensitive assumption is the timing of unsupervised Level 4 autonomy. The allocation assumes Tesla will solve general autonomy soon and quickly deploy a high-margin global robotaxi network. Waymo is already operating commercially, while Tesla remains in testing. The risks of technological obsolescence and regulatory delay are therefore high.

The valuation works only if Tesla's vision-only AI system reaches a sharp capability threshold and makes localized Lidar-based systems obsolete. The automotive business must also generate enough cash to fund interim compute capex. If an AI breakthrough is delayed by three to five years, the \$648 billion residual EV would decline rapidly, reducing equity market capitalization.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

The gap between the Bear and Bull scenarios is driven largely by the AI / Robotaxi Optionality segment. In the Bear scenario, the \$648 billion optionality segment disappears if state regulators block unsupervised FSD or the vision-only system fails to meet human-parity safety metrics. If Automotive also becomes commoditized under Chinese OEM competition, EV falls to roughly \$450 billion, supported by lower-margin hardware sales and a stable Energy business. After deducting the unchanged \$7,269 million in senior claims, equity value falls to roughly \$112 per share.

The Bull scenario requires successful execution across all major initiatives. Unsupervised FSD must receive global regulatory approval, allowing Tesla to gain significant share of a \$300 billion global ride-hail market. Optimus must also move from R&D to a scalable commercial product with substantial B2B software revenue. In this case, EV could double to \$2.5 trillion, valuing Tesla as a leading software, robotics, and transportation infrastructure company.

The key variable is the regulatory safety threshold for Level 4 autonomy. Downside depends on whether regulators permanently exclude Tesla from the commercial robotaxi market or Waymo outpaces it technically. Equity value also faces dilution risk. The 2025 CEO Performance Award includes a 423 million share tranche that vests at a \$2.0 trillion market capitalization. If the Bull scenario occurs, the additional shares will modestly reduce per-share upside and change the EV-to-equity bridge.

BOTTOM LINE

The central investment question is whether Tesla should be valued as a maturing, capital-intensive automaker with significant margin pressure, or as an AI, robotics, and software company approaching commercial autonomous transport. The market has clearly chosen the latter. Current earnings and cash flows do not support a \$1.27 trillion EV. The valuation depends on future optionality. The AI / Robotaxi Optionality segment is the key driver, accounting for more than 50% of allocated EV. To support this value, Tesla must secure unsupervised Level 4 regulatory approval, build a large robotaxi network, and generate high-margin software economics. The least supported assumption is that Tesla's vision-only architecture will surpass Waymo's operating sensor-fusion robotaxi service. Tesla currently has zero paid driverless rides. Automotive must also stabilize because it funds Tesla's AI ambitions. Continued pressure on automotive gross margins from the global EV price war, combined with \$19.3 billion in 2026 capex, could limit Tesla's ability to fund the optionality segment. Energy remains a positive contributor, but at 9% of EV it cannot support the group valuation alone. The EV-to-equity bridge is straightforward after \$7.2 billion of senior claims, leaving equity holders exposed to the outcome of the AI initiatives. Portfolio managers should monitor regulatory testing permits and autonomous-mileage accident rates. Until unsupervised FSD receives commercial approval, Tesla's valuation rests on a highly speculative promise rather than observable economics.

FINANCIAL BRIDGE · PART 1

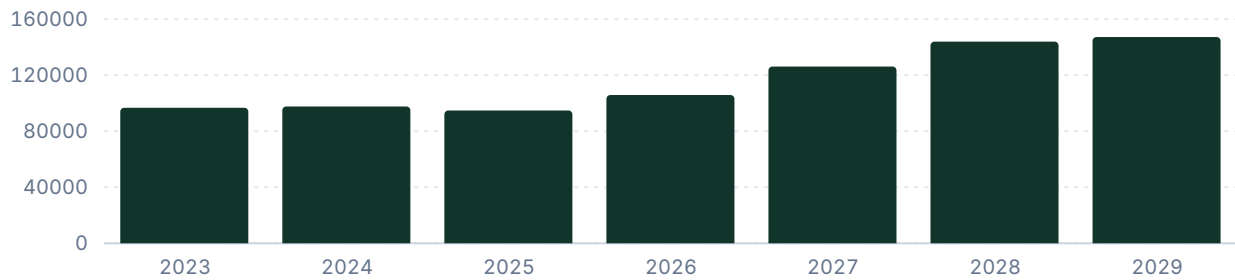
Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

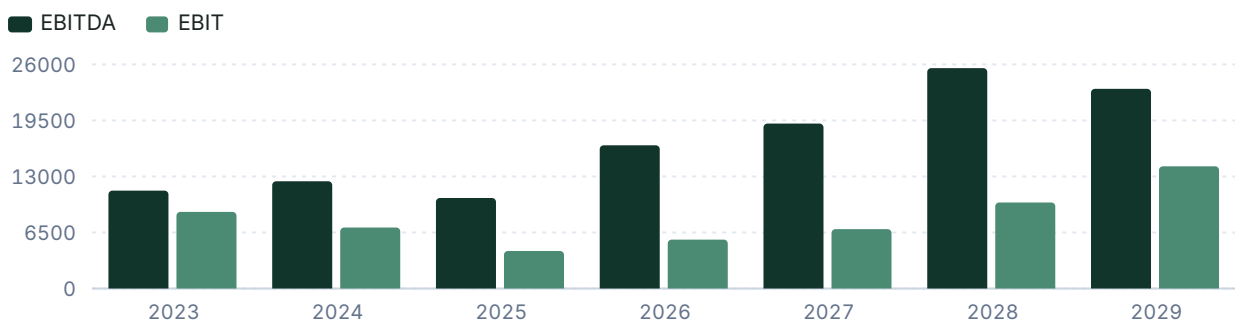
Net sales

USD millions



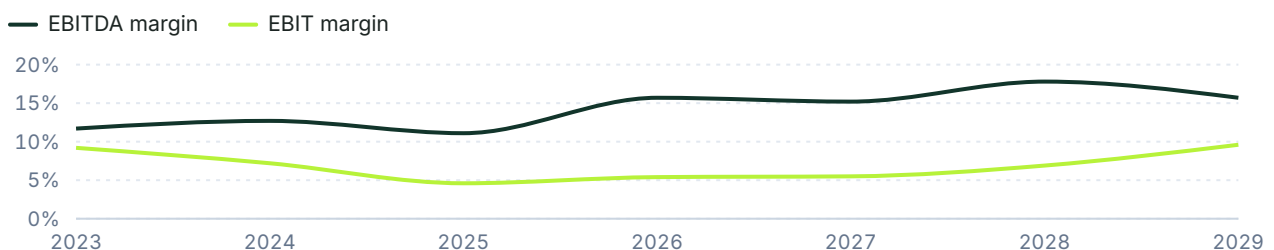
EBITDA & EBIT

USD millions



EBIT and EBITDA margin

% of net sales



FINANCIAL BRIDGE · PART 2

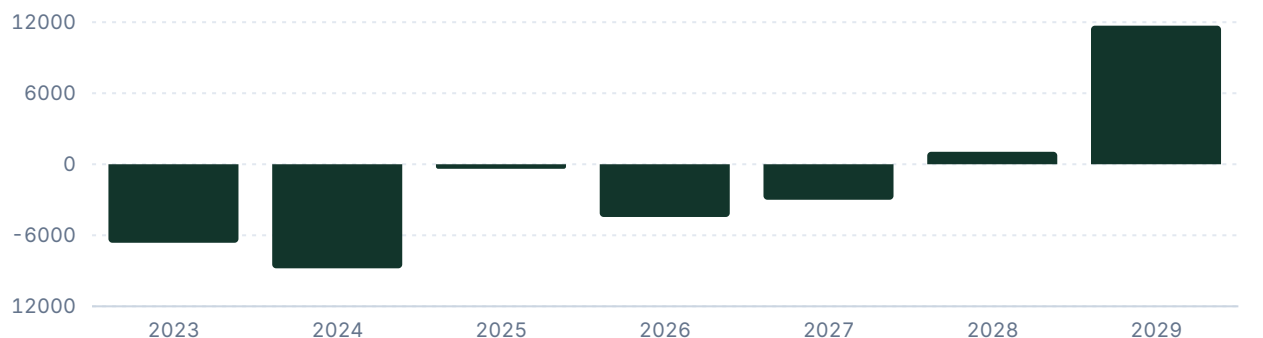
15

Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

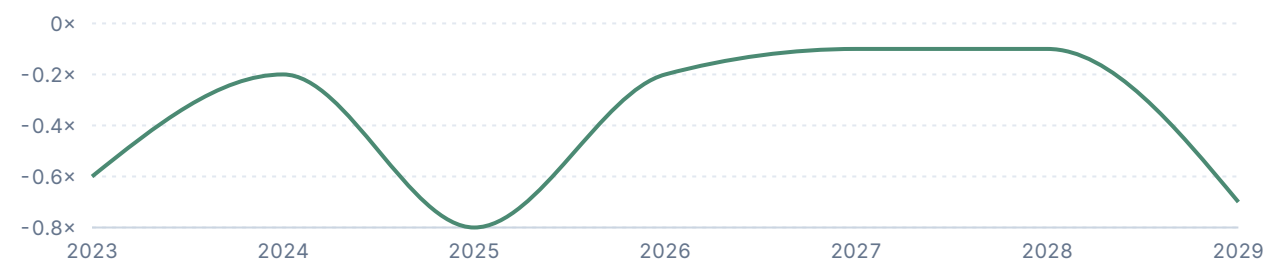
Free cash flow

USD millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	94,827	105,880	126,200	144,000	147,278
EBITDA	10,503	16,617	19,140	25,570	23,169
Comparable EBIT	4,355	5,672	6,890	9,980	14,179
Net Earnings	3,855	3,871	7,360	10,588	14,472
EPS (USD)	1.2	1.2	2.3	3.3	4.5
DPS (USD)	0	0	0	0	0

VALUATION

Target price derivation

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The rationale for the chosen valuation method and multiple, with the company's historical multiples.

Tesla's valuation setup fits a loss-making growth and optionality profile, necessitating a Sum-of-the-Parts approach anchored by EV/EBIT due to heavy distortion from pre-revenue AI, robotics, and autonomy expectations. The company trades at a massive premium relative to traditional auto peers (median 2026e EV/EBITDA of 9.4x), reflecting this distinct business mix, but sits well below its own historical normalized average EV/EBIT of 191.70x. To capture the blended value of its core hardware manufacturing and high-margin software optionality, the selected fair EV/EBIT multiple is set at 50.0x on 2028 estimates, bridging the gap between legacy automotive multiples and AI-infrastructure leaders like Nvidia. The XY scatter valuation signal (ROE vs. P/BV) is excluded from the weighted target price (0% weight) as the metric is strictly a context check and unsuitable for a company valued primarily on long-tail future growth and technological optionality. The primary valuation risk to this elevated growth multiple is slower-than-expected commercialization of the FSD/Robotaxi network, which would forcibly re-anchor the stock toward standard automotive multiples.

Historical and Forecast Multiples											
Metric	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	Norm. Avg	Selected Fair Multiple
P/E	763.78x	184.52x	30.57x	52.65x	180.49x	376.22x	267.9x	141.0x	98.0x	112.06x	n/a
P/FCF	1841.87x	2055.23x	9835.96x	-118.91x	-146.87x	-3785.32x	-285.1x	-423.5x	1206.1x	1948.55x	n/a
P/BV	29.62x	34.53x	8.62x	12.59x	17.71x	17.66x	14.6x	13.5x	12.1x	20.12x	n/a
P/S	20.88x	19.37x	4.73x	8.15x	13.22x	15.29x	12.0x	10.1x	8.8x	13.61x	n/a
EV/Sales	22.05x	20.10x	4.73x	8.20x	13.33x	15.34x	12.1x	10.1x	8.8x	13.96x	5.0x
EV/EBITDA	161.11x	114.67x	22.14x	69.91x	104.64x	138.54x	76.9x	66.7x	49.8x	101.83x	n/a
EV/EBIT	348.72x	165.84x	28.22x	89.30x	184.02x	334.11x	225.2x	185.2x	127.6x	191.70x	50.0x
Dividend yield	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	n/a	n/a

VALUATION

Peers and target price bridge

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Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON										
COMPANY	COUNTRY	MKT CAP	P/E 2026E	P/E 2027E	EV/EBITDA 2026E	EV/EBITDA 2027E	P/BV 2026E	EBIT MARGIN 2026E	ROE 2026E	DIV YIELD 2026E
Rivian Automotive, Inc.	United States	13.7 USDbn	-2.6x	-1.7x	-6.3x	-6.3x	-8.1x	-57.8%	n/a	n/a
Li Auto Inc.	China	24.0 CNYbn	1.0x	0.8x	-3.9x	-4.4x	0.2x	4.6%	26.3%	n/a
Ford Motor Company	United States	57.5 USDbn	8.2x	6.0x	13.6x	11.4x	1.1x	4.3%	14.4%	9.7%
Toyota Motor Corp.	Japan	253.3 JPYbn	0.1x	0.0x	5.2x	2.9x	0.0x	10.5%	12.0%	n/a
Fluence Energy, Inc.	United States	855 USDm	-0.9x	-0.7x	-2.3x	-3.0x	-0.6x	-30.8%	n/a	n/a
NVIDIA Corporation	United States	4071.6 USDbn	38.0x	19.4x	34.2x	15.4x	29.0x	60.4%	101.5%	0.0%
Peer median	-	-	1.0x	0.8x	9.4x	11.4x	0.2x	4.6%	14.4%	4.8%
Peer average	-	-	3.1x	2.3x	9.4x	9.9x	0.5x	6.5%	17.6%	4.8%

TARGET PRICE BRIDGE					
METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE	WEIGHT
EV/EBIT (Primary)	2028e EBIT	9,980 USDm	50.0x	113.9 USD	60%
EV/Sales (Supporting)	2028e Sales	144,000 USDm	5.0x	165.1 USD	20%
Reverse Valuation	Market-implied value	n/a	n/a	322.0 USD	20%
Weighted target price				165.8 USD	100%

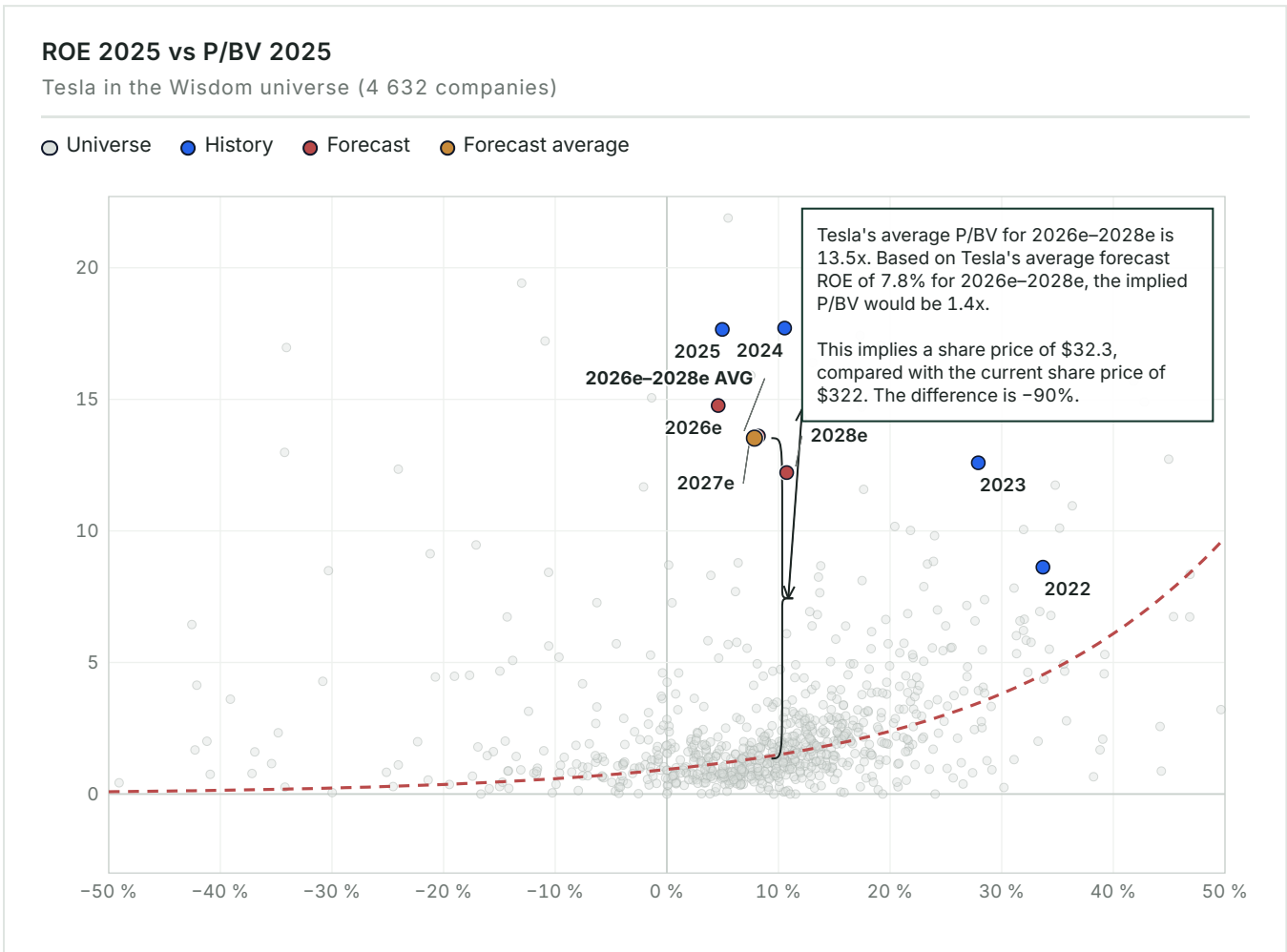
SENSITIVITY — IMPLIED SHARE PRICE			
2028E EBIT (USDm)	MULTIPLE 40.0X	MULTIPLE 50.0X (BASE)	MULTIPLE 60.0X
7,984 (-20%)	72.3	90.8	109.3
8,982 (-10%)	81.5	102.3	123.1
9,980 (Base)	90.8	113.9	137.0
10,978 (+10%)	100.0	125.5	150.9
11,976 (+20%)	109.3	137.0	164.8

VALUATION MAP

ROE vs P/BV — pricing versus profitability

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The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.



Tesla's valuation map shows forecast average ROE of 7.8% and P/BV of 13.5x. This is well above the universe curve, which implies P/BV of only 1.4x at this profitability level. The curve implies a share price of \$32.3, meaning the current \$321.6 price is 90% above the value suggested by the broader market relationship between returns and multiples.

MULTIPLES & SENSITIVITY

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Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES	
	2026
P/E	267.9×
EV/EBITDA	76.9×
EV/EBIT	225.2×
P/FCF	-232.8×
P/BV	14.8×
Dividend Yield	—
Net Debt / EBITDA	-0.2×

EBITDA × EV/EBITDA sensitivity						
EBITDA EV/EBITDA →	30.0×	40.0×	50.0×	60.0×	70.0×	
-20% USD 13,294m	USD 398,820m USD 103.00 / sh	USD 531,760m USD 136.70 / sh	USD 664,700m USD 170.40 / sh	USD 797,640m USD 204.00 / sh	USD 930,580m USD 237.70 / sh	
-10% USD 14,955m	USD 448,650m USD 115.70 / sh	USD 598,200m USD 153.50 / sh	USD 747,750m USD 191.40 / sh	USD 897,300m USD 229.30 / sh	USD 1,046,850m USD 267.10 / sh	
Base USD 16,617m	USD 498,510m USD 128.30 / sh	USD 664,680m USD 170.40 / sh	USD 830,850m USD 212.40 / sh	USD 997,020m USD 254.50 / sh	USD 1,163,190m USD 296.60 / sh	
+10% USD 18,279m	USD 548,370m USD 140.90 / sh	USD 731,160m USD 187.20 / sh	USD 913,950m USD 233.50 / sh	USD 1,096,740m USD 279.70 / sh	USD 1,279,530m USD 326.00 / sh	
+20% USD 19,940m	USD 598,200m USD 153.50 / sh	USD 797,600m USD 204.00 / sh	USD 997,000m USD 254.50 / sh	USD 1,196,400m USD 305.00 / sh	USD 1,395,800m USD 355.50 / sh	

SCENARIO VALUATION

Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

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SCENARIO BRIDGE								
	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	105,880	12,000	11.3%	37.5×	450,000	458,137	USD 116.00	-63.9%
Base	144,000	25,570	17.8%	50.0×	1,277,222	1,285,359	USD 325.44	+1.2%
Bull	200,000	45,000	22.5%	55.5×	2,499,750	2,507,887	USD 634.98	+97.5%

KEY CONDITIONS

The large gap between the bear and bull scenarios is driven mainly by the AI / Robotaxi Optionality segment. In the Bear scenario, the \$648 billion optionality segment disappears if state regulators block unsupervised FSD or the vision-only system fails human-parity safety metrics. The Bull scenario requires successful execution across the business, including global regulatory approval for unsupervised FSD and a scalable commercial Optimus product.

THESIS BREAKER

A definitive regulatory block on vision-only Level 4 autonomy would eliminate the optionality premium and destroy more than half of EV.

CATALYSTS

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Monitoring checklist

Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER				
	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
Robotaxi Regulatory Approval	LONG-TERM	AI / Robotaxi / Optimus / FSD Optionality	State-by-state unsupervised L4 testing permits and accident rates vs Waymo	Binary validation of \$648bn EV pool
Optimus Gen 3 Production Ramp	NEAR-TERM	AI / Robotaxi / Optimus / FSD Optionality	Internal deployment utilization rates and third-party commercial sales	Confirmation of robotics revenue stream
SpaceX IPO Lockup & Performance	NEAR-TERM	SpaceX / xAI Equity Stake	Mark-to-market valuation of Class A shares post-IPO	Mark-to-market adjustment
Megapack 3 Houston Factory Launch	NEAR-TERM	Energy Generation & Storage	Quarterly GWh deployments and gross margin progression at volume	Growth validation of \$115bn Energy pool

READ - THROUGH

The key catalyst is state-level approval for unsupervised FSD. Because 50.7% of EV sits in the optionality segment, a commercial operating permit in a major market such as California or Texas would validate the case and reduce valuation risk. This is a binary catalyst. Approval opens a new revenue opportunity; without it, the software cannot be monetized through robotaxis. The clearest operational catalyst is the Megapack 3 Houston factory ramp. Tesla reports quarterly Energy deployments in GWh and related gross margins. Scaling the factory while sustaining margins near 25–30% would confirm that Energy is a meaningful standalone contributor to EV. The most misunderstood measure is cumulative FSD miles driven. Tesla cites billions of FSD miles, but investors must distinguish supervised miles, where drivers retain liability, from unsupervised commercial miles. Until supervised miles result in approval for driverless commercial operations, they remain R&D data rather than revenue-generating utility.

Event sources: Tesla, Inc. - SEC.gov (2026-01-16), https://www.sec.gov/Archives/edgar/data/1318605/000110465926053166/tm2611837d1_10ka.htm · Tesla, Inc. 2025 CEO Performance Award Agreement, dated as of September 3, 2025 - SEC.gov (2025-09-03), https://www.sec.gov/Archives/edgar/data/1318605/000110465925108602/tm2530188d1_ex4-4.htm

RISKS

Risk register

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Each risk's business division, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER					
	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
FSD / Robotaxi Regulatory Block	AI / Robotaxi / Optimus / FSD Optionality	NHTSA or state regulators ban unsupervised L4, impairing 50% of group EV.	Disallowed testing permits	HIGH	THESIS BREAKER
BYD / China Price War Intensification	Automotive	Compresses gross margins further, dragging group EBIT structurally below 5%.	Sequential gross margin declines	HIGH	STRUCTURAL
AI / Compute Capex Burn	AI / Robotaxi / Optimus / FSD Optionality	Heavy investment in H100s and custom silicon drains FCF without immediate commercial ROI.	Persistent negative FCF	MEDIUM	MANAGEABLE
2025 CEO Performance Award Dilution	Automotive	423m share tranche vesting upon reaching \$2.0trn market cap dilutes per-share equity value.	Market cap approaches \$2.0trn	MEDIUM	STRUCTURAL
READ - THROUGH The main risk is a definitive regulatory block on vision-only Level 4 autonomy. If the NHTSA or state authorities require Lidar redundancy for driverless operations, Tesla's current hardware fleet would become obsolete for robotaxi use. This would eliminate the \$648 billion optionality segment and re-rate the stock toward traditional automotive multiples. The ongoing automotive price war is partly reflected in the valuation. The market expects some margin pressure, and EBIT margins have fallen to 4.6%. The less appreciated risk is the interaction between weaker automotive margins and significant AI capex. Tesla needs cash flow from vehicle sales to fund AI compute clusters. If BYD's pricing pressure eliminates automotive FCF, Tesla may need to reduce AI investment, allowing competitors such as Waymo to extend their commercial lead. Early warning signs include sequential declines in automotive gross margins, negative FCF beyond 2026, and utility-scale battery market-share losses to Chinese competitors. Equity holders also face dilution risk. If the Bull scenario lifts market capitalization toward \$2.0 trillion, the 423 million share CEO performance award will vest, changing the EV-to-equity bridge and absorbing part of the value creation.					

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APPENDIX

Income statement

INCOME STATEMENT — USD MILLIONS						
	2023	2024	2025	2026 <i>E</i>	2027 <i>E</i>	2028 <i>E</i>
Net Sales	96,773	97,690	94,827	105,880	126,200	144,000
EBITDA	11,358	12,444	10,503	16,617	19,140	25,570
EBITDA margin	11.7%	12.7%	11.1%	15.7%	15.2%	17.8%
Depreciation	-2,467	-5,368	-6,148	-10,945	-12,250	-15,590
Operating Profit (EBIT)	8,891	7,076	4,355	5,672	6,890	9,980
EBIT margin	9.2%	7.2%	4.6%	5.4%	5.5%	6.9%
Net financial items	1,082	1,914	923	-282	1,000	1,370
Pre-tax Profit	9,973	8,990	5,278	5,390	7,890	11,350
Net Earnings	14,976	7,153	3,855	3,871	7,360	10,588
PER SHARE						
EPS	4.7	2.2	1.2	1.2	2.3	3.3
DPS	0	0	0	0	0	0
Payout ratio	—	—	—	—	—	—

E = Valuatum estimate (not yet actualised)

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APPENDIX

Balance sheet

BALANCE SHEET — USD MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
ASSETS						
Tangible assets	45,123	51,507	40,643	49,036	58,447	66,690
Intangibles	362	1,226	135	151	180	205
Goodwill	253	244	257	257	257	257
Non-current assets	50,269	57,186	62,239	70,648	80,087	88,356
Inventories	13,626	12,017	12,392	13,552	16,153	18,431
Receivables	19,592	30,204	39,737	40,158	41,117	41,957
Cash & equivalents	16,398	16,139	16,513	18,107	21,582	24,626
Current assets	49,616	58,360	68,642	71,817	78,852	85,014
Total Assets	106,618	122,070	137,806	149,390	165,864	180,296
EQUITY & LIABILITIES						
Equity	63,609	73,680	82,865	86,736	94,096	104,684
Long-term debt	2,682	5,535	6,736	7,313	10,083	10,440
Short-term debt	1,975	2,343	1,640	7,313	10,084	10,440
Long-term liabilities	9,345	13,824	23,227	23,804	26,574	26,931
Current liabilities	28,748	28,821	31,714	38,850	45,194	48,681
Total liabilities & equity	106,618	122,070	137,806	149,390	165,864	180,296
CAPITAL STRUCTURE & RATIOS						
Net debt	-6,825	-2,516	-8,137	-3,481	-1,415	-3,745
Capital invested	51,868	65,419	74,728	83,255	92,681	100,939
Equity ratio	59.7%	60.4%	60.1%	58.1%	56.7%	58.1%
Gearing	-10.7%	-3.4%	-9.8%	-4.0%	-1.5%	-3.6%
Net debt / EBITDA	-0.6×	-0.2×	-0.8×	-0.2×	-0.1×	-0.1×
Current ratio	1.7	2	2.2	1.9	1.7	1.8

E = Valuatium estimate (not yet actualised)

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APPENDIX

Cash flow

CASH FLOW — USD MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
OPERATIONS						
CF from operations	10,553	3,171	3,691	14,697	19,624	26,190
Operating cash flow	3,263	1,868	2,616	14,900	18,691	24,912
Change in working capital	7,474	9,298	6,312	118	-13	-12
INVESTING & FREE CASH						
Gross capex	11,643	12,285	11,201	19,354	21,690	23,859
Capex (ex. M&A)	-11,643	-12,285	-11,201	-19,354	-21,690	-23,859
Free Operating Cash Flow	-6,634	-8,791	-383	-4,454	-2,999	1,053
Free cash flow to firm	-6,632	-8,791	-383	-4,454	-2,999	1,053
FINANCING						
CF from financing	8,306	8,594	8,285	6,250	5,541	713
Dividends paid	—	—	—	—	—	—
Net change in cash	7,216	-520	775	1,594	3,475	3,044

E = Valuatum estimate (not yet actualised)

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APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, USD MILLIONS								
	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	21,301	25,500	25,182	25,707	19,335	22,496	28,095	24,901
EBITDA	2,417	2,883	4,065	3,079	1,846	2,356	3,249	3,052
EBITDA margin	11.3%	11.3%	16.1%	12.0%	9.5%	10.5%	11.6%	12.3%
Comparable EBIT	1,171	1,605	2,717	1,583	399	923	1,624	1,409
EBIT margin	5.5%	6.3%	10.8%	6.2%	2.1%	4.1%	5.8%	5.7%
Net Earnings	1,405	1,416	2,183	2,332	420	1,190	1,389	856
EPS	0.4	0.4	0.7	0.7	0.1	0.4	0.4	0.3

CURRENT YEAR — QUARTERLY, USD MILLIONS				
	Q1/26	Q2/26	Q3/26 E	Q4/26 E
Net Sales	22,387	28,236	27,500	27,757
EBITDA	2,531	398	4,500	9,188
EBITDA margin	11.3%	1.4%	16.4%	33.1%
Comparable EBIT	941	398	3,000	1,333
EBIT margin	4.2%	1.4%	10.9%	4.8%
Net Earnings	491	1,128	1,483	769
EPS	0.2	0.4	0.5	0.2

E = Valuatum estimate (not yet actualised)

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER

	VALUE	CATEGORY	USED IN
\$321.55	321.55	MARKET DATA	Cover Page, Recommendation
76.86x FY26e EV/EBITDA	76.86x	MODEL OUTPUT	Recommendation, Core Analysis
FY25 Net Sales \$94,827m	94,827	FINANCIAL SNAPSHOT	Company Value Map, Core Analysis
\$25,570m 2028e EBITDA	25,570	GENERATED ESTIMATE	Cross-Pool Bridge, Recommendation
Pre-tax profit 2028e \$11,350m	11,350	CONSENSUS ESTIMATES	Valuation Reality Check
\$510,898m Automotive EV Allocation	510,898	COMPANY VALUE MAP	Deep Dive, Executive Map

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This report contains an investment recommendation: a rating and a 12-month target price for the subject company's share. It is not personalised investment advice and takes no account of any individual recipient's objectives, financial situation or needs.

The target price is derived from EV/EBIT (Primary), EV/Sales (Supporting), Reverse Valuation, weighted as shown in the target price bridge, against peer-group and historical multiples. The valuation methodology, key assumptions and their sensitivities are presented in the valuation section of this report.

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